

Product Requirements Document: Construction Payroll System (Tier 2)

1. Introduction

This document outlines the functional requirements for a Tier 2 construction payroll system. It is designed for companies that employ union labor on private (non-certified) projects. This system incorporates all Core Payroll Functionality from the Tier 1 (Base Complexity) system and adds a robust set of specialized features to manage the significant complexities introduced by Collective Bargaining Agreements (CBAs), including unique wage structures, complex fringe benefit contributions, and specific reporting obligations.¹

2. Target Users

The target users for this system remain the same as in the Tier 1 scenario, but with expanded responsibilities related to union compliance:

- **Payroll Administrators:** Primary users responsible for configuring union agreements, processing complex payroll calculations, and generating union remittance reports.
- **Company Owners/Executives:** Require assurance of compliance with all CBA terms to avoid disputes and penalties.
- **Project Managers:** Need accurate, fully burdened labor cost data that includes union fringe benefits for precise project budget tracking.
- **Field Supervisors:** Responsible for ensuring time is coded correctly according to union job classifications.
- **HR Managers:** Involved in managing union employee data, certifications, and ensuring adherence to CBA rules.

3. Functional Requirements

The following requirements are additive to the Tier 1 system. All Tier 1 features are considered a prerequisite.

3.1. Core Payroll Functionality (Prerequisite)

All functional requirements outlined in the "Product Requirements Document: Construction Payroll System (Tier 1)" are considered the baseline for this system. The following sections detail the additional features required to manage union payroll.

3.2. Union & Collective Bargaining Agreement (CBA) Management

This module is the core of the Tier 2 system, designed to translate complex union contracts into automated payroll rules.¹

- **FR-M1.1: Union Profile Management:** The system must allow for the creation and

storage of profiles for multiple Union Locals, including contact information and agreement details.¹

- **FR-M1.2: Union-Specific Rate Configuration:** Must support the configuration of complex, union-specific wage rates based on multiple factors, including:
 - Job Classification (e.g., Journeyman, Apprentice 1st Year).¹
 - Geographic Zone or County.¹
- **FR-M1.3: Fringe Benefit Contribution Management:** The system must allow for the setup and automated calculation of numerous fringe benefit contributions as defined by CBAs, such as Health & Welfare, Pension, Annuity, and Training Funds.¹
 - **FR-M1.3.1: Flexible Contribution Calculations:** Must support various calculation methods for fringes, including fixed amounts per hour, a percentage of gross wages, or other specified rules.¹
 - **FR-M1.3.2: Contribution Limits:** Must support the ability to set caps or minimums for fringe contributions where applicable.¹
- **FR-M1.4: Union-Specific Deduction Management:** Must support the setup and processing of union-specific post-tax deductions, such as union dues and political action funds.¹
- **FR-M1.5: Complex Overtime Rules:** The system must handle complex overtime rules as defined by CBAs, which often exceed FLSA requirements (e.g., double-time pay after 8 hours, specific rates for weekend or holiday work).¹
- **FR-M1.6: Multi-Union Employee Assignment:** Must allow a single employee to be assigned to multiple union affiliations, with the system correctly applying the appropriate rates and benefits based on the job being performed.¹

3.3. Union Reporting & Remittance

This module provides the critical compliance documentation required by union partners.

- **FR-M2.1: Automated Union Remittance Reports:** The system must automatically generate Union Monthly Remittance Reports for each local. These reports must detail the hours worked by each employee, their job classification, and the corresponding contributions due for each fringe benefit fund.¹
- **FR-M2.2: Customizable Report Formats:** Must support various union reporting formats (e.g., detailed listings, summary reports) to meet the specific requirements of different locals.¹
- **FR-M2.3: Remittance Tracking:** The system should track remittance payments and provide alerts for pending or delinquent reports to avoid compliance issues.¹
- **FR-M2.4: Data Export:** Must provide the ability to export union reports in common formats such as Excel or CSV for external analysis or submission.¹

3.4. Enhanced Employee Management

This module expands the core employee profile to include union-specific data points.

- **FR-M3.1: Union Membership Tracking:** The employee profile must include fields to track union membership status and union card numbers.¹

- **FR-M3.2: Skills and Certification Management:** The system must allow for the tracking of employee skill sets and union-provided certifications relevant to their job roles and pay scales.¹

4. Non-Functional Requirements

- **NFR-1: Security:** Must feature role-based access control to ensure users can only access data relevant to their roles. All sensitive employee and union agreement data must be encrypted both at rest and in transit.
- **NFR-2: Usability:** The interface for configuring union agreements must be intuitive, allowing payroll administrators to accurately model complex CBA rules without extensive technical support.
- **NFR-3: Reliability:** The system must have a high level of uptime (e.g., 99.9%) to ensure payroll, including complex union calculations, can be processed accurately and on time.
- **NFR-4: Integration:** Must offer a robust API for integration with common construction accounting systems (e.g., QuickBooks, Sage) to ensure that fully burdened labor costs, including union fringes, are accurately reflected in job cost reports.²